

TEZPUR UNIVERSITY

End-semester Examination, Spring 2023

IC361: Accounting and Financial Management

Total marks: 60

Allowed time: 3 hours

1. Answer the following questions. 5X4=20
 - A. What are the major components of an annual financial report?
 - B. Write five benefits of Human Resource Accounting and explain them.
 - C. What are the differences between capital expenditure and revenue expenditure?
 - D. Why has India converged with IFRS instead of directly adopting it? Which Act are these standards notified under? Explain two advantages Ind AS.
2. Write short notes on the following topics. 5X2=10
 - A. Computerized Accounting System
 - B. Accounting concepts/principles
3. Give an example of each type of error in accounting. Also, pass the rectifying journal entries for the following two errors. 5+5=10
 - a. Goods sold to Raghu on credit was not recorded in the books of accounts.
 - b. A cash sale of Rs. 1,500 was recorded as Rs. 1,200.
4. Raju's cashbook had shown a credit balance of Rs. 500 in the beginning of the month. Prepare a Bank Reconciliation Statement to arrive at the correct amount at the end of the month. 10
 - a. A cheque of Rs. 2,000 was directly deposited by a customer into the bank which was only recorded in the passbook.

- b. Interest on deposit of Rs. 500 was only recorded in the passbook.
- c. A cheque of Rs. 200 was deposited in the bank but the bank declined it due to a missing signature.
- d. The bank did not inform Raju about a refund of Rs. 300 received in his bank account.
- e. The bank debited an amount of Rs. 100 for SMS services in the passbook.

5. Calculate the cashflows from investing activities from the following information given.

	2022	2021
Building	5,00,000	5,00,000
Machinery	1,50,000	1,10,000
Furniture	70,000	95,000
Inventory	60,000	35,000
Long-term loan	50,000	65,000

Additional information:

Depreciation of Rs. 15,000 was charged on machinery during the year.

6. Prepare a trial balance from the following information given.

Particulars	Amount (Rs.)	Particulars	Amount (Rs.)
Rent	1,500	Land	80,000
Capital	85,500	Commission received	6,000
Discount received	8,000	Trade payables	15,000
Sales return	2,000	Loan from Mr. A	10,000
Creditors	9,000	Bank balance	50,000